

5-2 Theories of International Trade

Theories of international trade provide one of the oldest, richest, and most influential bodies of economics, whose founding is usually associated with the publication of British economist Adam Smith's *The Wealth of Nations* in 1776.

Theories of international trade predate Adam Smith. In fact, Adam Smith wrote *The Wealth of Nations* to challenge an earlier theory: mercantilism. In this section, we introduce major theories of international trade:

Learning Objective 5-2

Understand classical and modern theories of international trade.

- (1) mercantilism,
- (2) absolute advantage,
- (3) comparative advantage,
- (4) product life cycle,
- (5) strategic trade, and
- (6) national competitive advantage.

The first three are often regarded as

classical trade theories (The major theories of international trade that were advanced before the 20th century, which consist of (1) mercantilism, (2) absolute advantage, and (3) comparative advantage.)

, and the last three are viewed as

modern trade theories (The major theory of international trade that were advanced in the 20th century, which consist of (1) product life cycle, (2) strategic trade, and (3) national competitive advantage of industries.)